

RGLD pitch deck

PITCH — RGLD — VERDICT

PROPOSED — PENDING ADJUDICATION — do not buy at today's \$262; place a three-step buy ladder starting at \$225 and below, because both benches' own arithmetic puts fair value under the current price.

What we believe

Royal Gold owns paper, not mines. It buys royalties and streams — contracts entitling it to a slice of another company's gold production, or the right to buy that metal at a fixed low price — and then collects cash without paying for labor, diesel, or mine construction. In the first half of 2026 it collected \$919.7M of revenue and \$628.7M of operating cash flow, and its cash operating costs are a rounding error against that.

Three things we believe, in order of how much weight they carry:

1. The business is a genuine cash annuity for the next several years, not a treadmill.

The company's own five-year outlook of 430,000–480,000 gold-equivalent ounces per year is built from assets it already owns — expansions at Khoemacau and Platreef, Corani, Great Bear, and the Hod Maden royalty — and explicitly excludes deals not yet done ([2026 guidance 8-K](#)). Volumes rise roughly 25–35% over five years with no new acquisitions required. That is the load-bearing fact of the whole thesis, and it comes from a primary filing.

2. The accounting understates the cash. Reported earnings carry a large non-cash depletion charge created by purchase accounting when Royal Gold absorbed Sandstorm and Horizon in October 2025. That is why the stock looks expensive on earnings (about 21.6x consensus 2026 EPS of \$12.15) and cheaper on cash (about 17.9x cash flow). Both numbers are true; the cash one describes the business better.

3. But it is not cheap today. At \$262 the stock trades above every fair-value range either bench could construct. The honest range, after charging realistic maintenance spending, is **\$211–252 per share**. We are being asked to pay a 4–20% premium to that.

So: a good business, correctly understood, at a bad price. The pitch is the ladder, not the purchase.

What the market believes

The market believes roughly what we believe, and prices it. Six analysts model 2026 revenue at \$1.91B and EPS at \$12.15 — above our own straight-line H1 annualization of \$1.84B — and those are full models that already carry the depletion charge. There is no screen artifact to arbitrage here: the

marginal buyer is not a spreadsheet confused by non-cash charges, it is a person who has read the same 10-Q we have.

What the market has done recently is more interesting than what it believes. Royal Gold traded as low as **\$186.33 in July 2026** and closed June at **\$199.61**. It is now \$262 — a **+27% move in roughly one month**, and about +41% off the July low ([monthly price history](#)). Gold itself is *down* 20.3% from its January 29, 2026 high of \$5,597, now around \$4,459. So the equity has re-rated hard while its underlying commodity has not recovered. The market has decided, in the last four weeks, that royalty companies deserve a higher multiple. That decision is what we would be paying for.

Why we might have edge

Honestly: not much, and we should say so.

- **We do not have an information edge.** Every dispositive fact in this analysis came from the 10-Q, a guidance press release, and the public price tape. Nothing proprietary.
- **We do not have an analytical edge on the multiple.** We agree with the street's numbers.
- **The one edge we may have is patience and a written price.** The stock was \$186 six weeks ago. Most buyers at \$262 are chasing a month-old move. Our contribution is a pre-committed ladder that only fills if the move partly unwinds — and the price history says a 30%+ round trip in this name is normal, not exotic.
- **A secondary edge is portfolio-shaped, not stock-shaped.** A contractual claim on gold production, with no operating cost line to inflate and no construction risk, is a different kind of asset from anything else we hold. If we want gold exposure that survives a cost-inflation shock, this is the cleanest instrument. That is a diversification argument, not an alpha argument, and it does not justify overpaying.

Why it might be priced in

It probably is. The specific reasons:

- Consensus already carries the depletion step-up. The “hidden cash flow” story is not hidden.
- The five-year volume outlook has been public since March 2026. It is in the price.
- The August re-rate suggests the market has *already* discovered the annuity framing that we consider our core insight. We may be showing up one month late to our own idea.
- The stock's fall from \$306 to \$186 and recovery to \$262 traced roughly **1.9x** gold's own drawdown. That is a normally-behaving, well-arbitraged, high-beta gold instrument. It is not a neglected security.

What could go wrong

Failure narrative 1 — We paid for a multiple, and the multiple goes back. (Most likely.)

Nothing breaks. Gold drifts sideways at \$4,400. The August enthusiasm for royalty companies fades the

way sector enthusiasms do, and the stock returns to the 12–14x cash flow it traded at in July — roughly \$190–210. We lose 20–25% on a business that performed exactly as forecast. *Tripwire: monitorable*. The price gates below fire, and the Q3 numbers would still be fine, which is precisely how this failure feels — correct thesis, wrong price.

Failure narrative 2 — Gold breaks and the leverage works against us. Gold is already 20% below its January high. Another 15% down, to roughly \$3,800, is not a tail event; it is a normal commodity correction. At the measured 1.9x drawdown ratio, that is Royal Gold at roughly \$185–190 — below our lowest ladder step, with all three tranches filled into a falling market. *Tripwire: monitorable* (gold spot, our own price gates), *but the tripwire does not save us*, because the ladder is designed to fill on exactly this path. The risk is not that we miss the signal; it is that we deliberately buy the whole position into a decline and then it keeps going.

Failure narrative 3 — Something goes wrong inside a mine we do not own, and we find out when everyone else does. *This one has no monitorable tripwire and we should be blunt about that.* Royal Gold's assets are contracts on other companies' operations: Mount Milligan (12.8% of revenue), Pueblo Viejo (10.0%), Kansanshi in Zambia, Hod Maden in Türkiye, Corani in Peru. A pit-wall failure, a labor action, a royalty-contract dispute, a tax renegotiation by a host government, or an operator's own financial distress all hit our cash flow — and every one of them surfaces first in *the operator's* disclosure, on *the operator's* timetable, in jurisdictions where we have no sensor and no standing. The unknown-unknown class here is **non-observable counterparty state**: we own a claim on a process we cannot watch. Our entire detector library was consulted and every single detector came back not-applicable or unfired for exactly this reason — satellite build-out monitoring, thermal plant readings, customs data, all of it observes the *operator*, not us. We cannot arm a sensor for this. We can only size for it.

The reflexive and structural leg. Our own size is not the problem: the intended position is \$130–150k against an estimated \$178M of daily dollar volume, well under 0.1% of a day's trading — though we should note that the 679,151-share average volume figure is **unverified**, because the brokerage contract-search tool was permission-denied during both benches' work. We have no live tick, no independently confirmed volume, and no options-implied move. Executability at our size is not seriously in doubt, but we are asserting it rather than having measured it.

The real structural risks are two:

- *We are bidding into our own predicted flow.* Our ladder only fills if gold falls. But if gold falls, it will also be dragging down other real-asset exposure in the book at the same moment, and the household's tax-reserve logic assumes gold-adjacent assets move opposite to the broad market — a correlated gold drawdown breaks that assumption in two places at once. We would be adding gold exposure precisely when our existing gold exposure is hurting us, on the same trigger.
- *We are buying an asset whose whole appeal is behaving differently from everything else, at the moment it stops doing that.* Royalty companies are supposed to be the low-drama way to own gold. The measured 1.9x drawdown ratio says this one is not low-drama. If we size it as ballast and it behaves as leverage, the sizing is wrong regardless of whether the thesis is right.

If this position loses money, the most likely reason will be **that we paid a full multiple for a well-understood gold annuity immediately after a 27% one-month re-rate, and gold simply consolidated instead of falling — so the ladder never filled at our prices, we compromised and bought higher anyway, and the multiple went back to where it was in July.**

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count 65.8M (from our own machine-built evidence pack)	10-Q cover page, period 2026-06-30	84,727,857 shares as of 2026-07-29. The pack's figure predates the Sandstorm/Horizon merger — it was stale by 29%, which would have understated market cap by ~\$5B	NO — our own data pack was wrong. Both benches caught it independently
Revenue \$209.6M / cash flow \$136.4M (evidence pack)	Same 10-Q	H1 2026 revenue \$919.7M, H1 operating cash flow \$628.7M. Pack figures are pre-merger and unusable	NO — pack superseded
"\$1.63B spent on acquisitions vs \$1.33B of cash generated = replacement spending is 122% of cash flow, so the business is a treadmill" (our red bench's headline kill)	Traced the largest single line, \$993.5M, to its source filing	It is a one-time \$1.0B advance payment for the Kansanshi gold stream , funded by a \$775M revolver draw (Q3-2025 8-K). That is a discrete new asset purchased with debt, not recurring maintenance. Charging it against the cash flow it <i>created</i> double-counts	NO — our red bench's strongest attack was misclassified
"Management's own buying says fair value is \$203.80" (red bench)	Pulled RGLD's actual monthly price bars for the repurchase window	June 2026 traded \$197.45–223.20 and closed at \$199.61; July ranged \$186.33–206.75. \$203.80 was simply the market price at the time. Management did not decline to pay more — it paid the going rate and the stock rallied afterward	NO — artifact. Red made the exact stale-price error it had flagged in our data pack two paragraphs earlier
"Fair value \$164–196 once you charge replacement spending" (red bench)	Checked the arithmetic	Units error: it subtracted capital spending from operating cash flow and <i>then</i> applied a multiple derived from operating cash flow — discounting the same money twice	NO — overturned
"The stock already absorbed the gold decline; its drawdown was only 0.69x gold's" (red bench)	Re-measured peak-to-trough on both, same windows	Mismatched windows. Trough to trough: RGLD \$306.25 → \$186.33 = -39.2% against gold -20.3%, a ratio near 1.9x . The equity fell <i>harder</i> than gold, then recovered	NO — overturned; and the corrected number makes the downside case worse, not better
"16.6x cash flow" (original brief)	Recomputed on three bases	Q2-annualized 16.6x (flattering — Q2 was the best quarter in company history); trailing-twelve-month 21.4x (stale — spans pre-merger quarters); H1-annualized 17.9x is the honest number. The brief picked the best available basis	PARTIALLY — the number was cherry-picked, though not by much
"Realized gold price \$4,506/oz"	10-Q text	That is the LBMA quarterly <i>average market</i> price, not a realized selling price, which the company does not separately	NO — sourcing error; conclusion unaffected

Claim	How checked	Found	Confirmed?
		disclose. Current spot is ~\$4,459, so Q2's base was about 1% <i>above</i> today's spot	
Depletion is a non-cash artifact, so cash flow is the right lens	Cash flow statement, six quarters	Directionally yes, but the company is a capital-deploying acquirer, not a pure annuity. H1 2026 maintenance spending was \$50.0M, 8% of cash flow — genuinely light. That 8% rests on one half-year of evidence , which is our own blue bench's stated weak point	PARTIALLY — the key assumption in our own defense is thinly supported
Net debt ~\$225M	10-Q balance sheet	\$395.9M debt less \$182.5M cash = \$213.4M . H1 also repaid \$500.0M of the Kansanshi revolver	YES
Revenue concentration is dangerous	10-Q concentration note	Mount Milligan 12.8%, Pueblo Viejo 10.0%, nothing else above 10%. Cleaner than assumed	YES — in the company's favor
Hod Maden stake was cut 30% → 15% (a negative)	10-Q	True, but the cut came with a new 2.5% net smelter royalty , and the company also paid \$84.7M in Hod Maden equity cash calls that our red bench omitted from its own tally	PARTIALLY — framing was incomplete in both directions
Average daily volume 679,151 shares	Attempted brokerage lookup	Permission denied. No live tick, no volume bars, no options-implied range. Used the same-day pack price instead	NO — unverified, flagged as a gap
Insider sales (Form 144 + Form 4 pairs filed 5/11, 6/16, 8/28)	Not attempted	Neither bench read these firsthand. Three insider-sale filings in four months, the most recent three days ago, went unexamined	NO — open work item

The pattern worth noting: **our red bench's two self-declared original findings both turned out to be artifacts**, and the sharpest real finding — that the entire “fair value” verdict is an artifact of a violent one-month rally off a \$186 July low — was surfaced by neither bench in its first pass. Our benches were more confident than their evidence supported, in both directions.

PROPOSED ENTRY BANDS

No purchase at the current price. \$262 is above the top of the defensible fair-value range (\$211–252). Both benches independently reached “do not buy here” from opposite directions.

Buy ladder (limit orders, good-till-cancelled, each step independent):

Step	Price	Size	Rationale
T1	\$225.00 or better	~\$45k	Top of the ladder = a ~14% pullback, roughly the midpoint of the \$211–252 fair range. Corresponds to about a 7–8% further decline in

Step	Price	Size	Rationale
			gold (to ~\$4,130) at the measured 1.9x ratio
T2	\$205.00 or better	~\$50k	Below the entire fair range; near where management itself repurchased (\$203.80) and near the June 2026 close (\$199.61). Implies gold near \$3,950
T3	\$188.00 or better	~\$50k	The July 2026 low was \$186.33 — six weeks ago. Implies gold near \$3,800. Full position here

Total intended position: \$130–150k across all three steps. Sizing is set by the real-asset ballast axis target of \$150k, not by conviction in the price; each step is under 0.03% of estimated daily volume, so execution is not a constraint. *The percentage-of-book denominator needs to be pulled from the ledger before staging — it is not stated in the court materials.*

Note the internal disagreement, unresolved: our red bench wanted the first purchase no higher than **\$210**; our blue bench allowed **\$225**. We propose \$225 for T1 and flag that a stricter reading defers everything to \$210. If the adjudicator prefers the strict reading, delete T1 and shift its size to T2.

No trims or exits proposed — we own nothing. Exit discipline should be written when the first tranche fills, not before.

Ladder-cancel condition: if RGLD trades above **\$305.70** (the 52-week high) without any tranche filling, cancel the ladder and re-court from scratch. At that point the thesis is a chase, and chasing it is not the thesis we wrote.

Catalyst dates: - ~**2026-10-20** — **quarterly preliminary sales release (8-K)**. UNCONFIRMED date, inferred from the company's own past cadence (the July 21, 2026 preliminary-sales 8-K preceded the August 5 earnings 8-K). This is the single most informative event: it will show whether the 27,400 oz of gold, 371,200 oz of silver, and 0.7 Mlb of copper sitting in ending inventory converted at \$4,450+ and whether total volume cleared 110k gold-equivalent ounces. - **2026-11-04** — **Q3 earnings**.

UNCONFIRMED — derived from a data vendor, not from a company announcement. Approximately 45 trading days away; no print is being raced.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 188.0 (deck-provisional: T3 buy trigger; July 2026 low was \$186.33 six weeks ago, so this level is recently visited)

- filing watch: 8-K until 2027-02-27 (deck-provisional: Q3 preliminary sales release (~2026-10-20): tests whether 27,400 oz Au / 371,200 oz Ag / 0.7 Mlb Cu in)
- dated pack RGLD|2026-10-20: RGLD: Q3 preliminary sales 8-K, inferred from prior-quarter cadence (7/21 prelim preceded 8/05 earnings) (date confirmed=False)
- dated pack RGLD|2026-11-04: RGLD: Q3 2026 earnings; vendor-derived date, not company-announced (date confirmed=False)

What remains unverified

1. **Sustaining capital spending.** Our defense of an \$211–252 fair value rests on maintenance spending being roughly 8–12% of cash flow. The evidence for that is exactly one half-year (\$50.0M in H1 2026), which followed a \$1.4B acquisition spree in late 2025 and a \$500M debt repayment. If the company resumes deal-making at Kansanshi scale in 2027, fair value compresses toward the low \$200s or worse. **This is the single most important open item.**
 2. **Insider selling.** Form 144 and Form 4 pairs filed 2026-05-11, 2026-06-16, and 2026-08-28 — completely unread. The most recent lands three days ago, into the rally.
 3. **Trading liquidity and options pricing.** The brokerage contract lookup was permission-denied for both benches. We have no live quote, no verified volume, and no market-implied estimate of how far this stock is expected to move. All execution claims are asserted from a stale-by-hours price.
 4. **Both catalyst dates.** Neither the ~October 20 preliminary release nor the November 4 earnings date is confirmed by a company announcement. Both are inferred.
 5. **The street's cash-flow and net-asset-value estimates.** We compared our cash-flow view against consensus *earnings*, which is the wrong comparison. Nobody pulled the analysts' own cash-flow or NAV numbers — the only figures that would actually test whether our 17.9x view differs from the market's.
 6. **Whether the 1.9x drawdown ratio is stable.** It is one measured episode. Sizing this as portfolio ballast assumes it behaves like gold; one observation is not a distribution.
 7. **Country-level risk at Kansanshi (Zambia), Hod Maden (Türkiye), and Corani (Peru).** Named as real by both benches, priced by neither.
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